

TAB 14



Board of Education Report

File #: Rep-311-23/24, Version: 1

Authorization of a Resolution of the Board of Education to Create, Implement and Operate a Captive Insurance Company for Non-Insured/Retained Automobile Liability, General Liability and Workers' Compensation

June 4, 2024

Office of the Chief Business Officer

Action Proposed:

The Board is requested to adopt a Resolution, attached hereto, to:

1. Authorize the creation of a captive insurance company, the Los Angeles Unified School District Insurance Company, LLC, to insure and manage the non-insured/retained auto liability, general liability, and workers' compensation exposures of Los Angeles Unified School District as well as other insurance coverages deemed necessary by the captive company in the future.
2. Authorize the Superintendent and/or designee(s) to engage with qualified insurance professionals, consultants, and legal counsel to establish the structure, operations, and governance of the Captive Insurance Program, including but not limited to, underwriting guidelines, funding mechanisms, claims handling procedures, and regulatory compliance measures.
3. Authorize the District to budget and appropriate funds requisite for the development and implementation of the Captive Insurance Company and as such, to be inclusive of all capital, premiums, funds and fees for lines of insurance coverage to be provided by the Captive Insurance Company along with the applicable and eligible portion of the District's Internal Service Fund and Liability Self Insurance Fund transferred to the Captive Insurance Company, to be determined in fiscal year 2025.
4. Direct the Superintendent and/or designee(s) to report to the Board of Education at least annually on the progress of the development and implementation of the Captive Insurance Program, including any significant developments or changes to the plan.
5. Appoint the initial Board of Directors of the Los Angeles Unified School District Captive Insurance Program.

Background:

Staff seeks the approval of the Captive Insurance Resolution (attached) to authorize the development and implementation of a Captive Insurance Company for non-insured/retained automobile liability, general liability, and workers' compensation exposures. A captive insurance company is a licensed insurance company whereby the policyholder, as the sole member of the captive insurance company, is also the insured. The purpose of the Captive Insurance Company is designed to mitigate financial risks, enhance control over the insurance processes, potentially reduce costs, and tailor coverage to meet the District's specific needs. The need for the captive insurance is underscored by escalating insurance costs, an insurance market condition where the availability of reinsurance coverage is limited, and the cost of such coverage is high, and the inaccessibility and

unavailability of certain insurance coverages to the District. Additionally, as an “insurance company,” a captive insurer can access the reinsurance markets and can attract a larger number of insurance companies available to insure the policyholder through the captive. Direct access to the reinsurance market can result in a significant cost savings to the District. If approved, the domicile for the captive insurance company will be the state of Vermont.

Approval of the Captive Insurance Resolution would initiate the development and implementation of a captive insurance company tailored to address the District's non-insured or retained automobile liability, general liability and workers’ compensation exposures. Establishing a captive insurance company would enable the District to better mitigate financial risks, gain more control over insurance arrangements, potentially reduce costs, and tailor coverage to the District's specific needs, ultimately providing a sustainable solution in an evolving insurance landscape.

Expected Outcomes:

Approval of the Captive Insurance Resolution will enable the District to create a captive insurance company that would efficiently regulate and minimize insurance costs and secure liability insurance coverage in order to mitigate financial risks.

Board Options and Consequences:

Should the Board not approve this resolution, staff will not be authorized to proceed with the formation and establishment of the captive insurance company, which limits the District's options for financing and obtaining reinsurance coverage for risk liabilities.

Policy Implications:

This action aligns with Pillar 4C: Sustainable Budgeting of the District Strategic Plan.

Budget Impact:

Approval of the Captive Insurance Resolution shall necessitate the District to budget and appropriate funds equal to capital, premiums, fees and applicable actuarial estimates annually to these lines of insurance coverage and as applicable, a transfer from the Internal Service Fund’s and Liability Self Insurance Fund and is therefore, expected to be budget neutral to the general fund. While this potentially represents a significant investment, it is crucial for effectively managing non-insured liabilities and the financing of risks. Long-term cost savings and improved financial stability for the District is anticipated. Ongoing monitoring may reveal additional budgetary considerations in the future.

Student Impact:

Efficient management of our automobile liability, general liability and workers’ compensation exposure holds the potential to decrease the costs of associated claims, thereby freeing up funds to further support student needs.

Equity Impact:

Component	Score	Score Rationale
Recognition	2	The Captive Insurance Resolution, while not actively recognizing historical inequities, seeks to decrease costs by managing the general liability exposures, freeing up funds to further support student needs.

Component	Score	Score Rationale
Resource Prioritization	2	The Captive Insurance Resolution is designed to manage the significant financial lia continue to be allocated effectively to meet the needs of students and the wider scho
Results	2	The Captive Insurance Resolution is likely to result in closed opportunity gaps. By r program helps ensure that the District continue to provide essential services and opp
TOTAL	6	

Issues and Analysis:

Not Applicable.

Attachments:

Resolution - Authorizing the Development, Implementation, and Operation of a Captive Insurance Company for Non-insured/Retained Automobile Liability, General Liability and Workers' Compensation Exposures

Informatives:

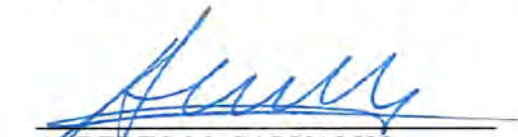
Not Applicable.

Submitted:

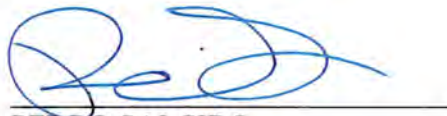
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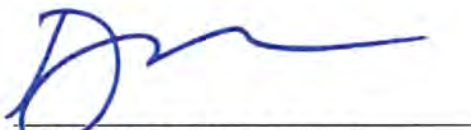
RESPECTFULLY SUBMITTED,


ALBERTO M. CARVALHO
Superintendent

APPROVED BY:

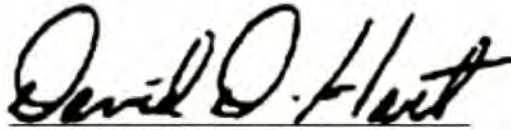

PEDRO SALCIDO
Deputy Superintendent,
Business Services & Operations

REVIEWED BY:


DEVORA NAVERA REED
General Counsel

☒ Approved as to form.

APPROVED & PRESENTED BY:


DAVID HART
Chief Business Officer
Office of the Chief Business Officer

REVIEWED BY:


NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

☒ Approved as to budget impact statement.

APPROVED & PRESENTED BY:


SUNG YON LEE
Deputy Chief Business Officer, Operations
Office of the Chief Business Officer

**RESOLUTION OF THE BOARD OF EDUCATION OF THE CITY OF LOS ANGELES
AUTHORIZING THE DEVELOPMENT, IMPLEMENTATION, AND OPERATION OF A
CAPTIVE INSURANCE COMPANY FOR NON-INSURED/RETAINED AUTOMOBILE
LIABILITY, GENERAL LIABILITY AND WORKERS' COMPENSATION EXPOSURES.**

WHEREAS, the Los Angeles Unified School District ("District") recognizes the importance of managing its risks effectively to ensure the continued provision of high-quality education to its students; and

WHEREAS, the District has identified certain automobile liability, general liability and workers' compensation exposures that are currently non-insured or retained, presenting potential financial risks to the District; and

WHEREAS, the District seeks to enhance its risk management practices by establishing a Captive Insurance Company, which is a separate company wholly owned by the District, to address these non-insured/retained automobile liability, general liability, and workers' compensation exposures, and any other insurance coverages deemed necessary by the captive company in the future; and

WHEREAS, the establishment of a Captive Insurance Company, will allow the District to gain more control over its insurance arrangements, potentially reduce costs, and tailor coverage to its specific needs; and

WHEREAS, the Board of Education of the City of Los Angeles ("Board of Education") deems it necessary to budget and appropriate funds requisite for the development and implementation of the Captive Insurance Company; and

WHEREAS, the development and implementation of a Captive Insurance Program requires careful planning, analysis, and execution by qualified staff; and

WHEREAS, it is imperative that the Captive Insurance Program be fully developed with all necessary state and federal authorizations by July 1, 2024;

NOW, THEREFORE, BE IT RESOLVED BY THE BOARD OF EDUCATION OF THE CITY OF LOS ANGELES AS FOLLOWS:

1. The Board of Education hereby authorizes the creation, implementation, and operation of the District's captive insurance company called, Los Angeles Unified School District

Insurance Company, LLC, which shall be domiciled in the state of Vermont, to provide coverage for non-insured/retained automobile liability, general liability, and workers' compensation exposures of the District.

2. The Board of Education further hereby authorizes the District to budget and appropriate funds requisite for the development and implementation of the Los Angeles Unified School District Insurance Company, LLC, and as such to be inclusive of all capital, premiums, funds and fees in the lines of insurance coverage to be provided, along with the applicable eligible portions of the District's Internal Service Fund and Liability Self Insurance Fund to be determined and included in the fiscal year 2025 budget.
3. The staff is authorized to engage with qualified insurance professionals, consultants, and legal counsel to develop the structure, operations, and governance of the Los Angeles Unified School District Insurance Company, LLC, including but not limited to, underwriting guidelines, funding mechanisms, claims handling procedures, and regulatory compliance measures.
4. The Board of Education directs the Superintendent of Schools ("Superintendent") to report to the Board at least annually on the progress of the development and implementation of the Captive Insurance Company, including any significant developments or changes to the plan.
5. The Board of Education approves the creation of the Los Angeles Unified School District Insurance Company, LLC, with a Board of Directors consisting of the following individuals/positions as members:
 - a) the Chief Business Officer or his/her designee;
 - b) the General Counsel or his/her designee;
 - c) the Deputy Superintendent of Instruction or his/her designee;
 - d) a representative of the District's captive consultant, Willis Towers Watson;
 - e) the District's local legal counsel

In the event these positions are re-named or abolished, the succeeding positions fulfilling these roles would assume these roles as members of the Board of Directors.

BE IT FURTHER RESOLVED, that the Chief Business Officer shall be authorized to execute consent and other documents on behalf of the District, which shall be the sole member of the Los Angeles Unified School District Insurance Company, LLC; and

BE IT FURTHER RESOLVED, that the Captive Insurance Company shall be operational on July 1, 2024, or as soon as reasonably practicable thereafter, initially for non-insured/retained automobile liability, general liability, and for workers' compensation at a later date as well as other insurance coverages deemed necessary by the captive company in the future, and shall serve to effectively manage and mitigate risk liabilities for the Los Angeles Unified School District.

This resolution shall take effect immediately upon adoption.

PASSED AND ADOPTED this _____ day of _____, 2024, by the Board of Education of the City of Los Angeles.

Jackie Goldberg, Board President
Scott M. Schmerelson, Board Vice President
Dr. George J. McKenna III, Board Member
Dr. Rocío Rivas, Board Member

Nick Melvoin, Board Member
Kelly Gonez, Board Member
Tanya Ortiz Franklin, Board Member

CERTIFICATION

I do hereby certify that the foregoing resolution was duly approved and adopted by the Board of Education of the City of Los Angeles at a meeting thereof held on the _____ day of _____ 2024 by the following vote:

AYES: _____

NOES: _____

ABSENT: _____

ABSTAIN: _____

By: _____
Michael McLean
Executive Officer, Board of Education

Date